# Tesla, Inc.

**TSLA** NASDAQ

| Hold | $389.36 ▼ 2.29% | 12M Price Target | 52-Week Range | Market Cap |
|---|---|---|---|---|
| | | **$425.00** | $297.38 – $498.83 | $1.54T |

## TSLA: Blue Wave Spooks Musk Trade, EV Rivals Rally

### WHAT HAPPENED

- TSLA is down ~2.3% to $389 after Democrats took Congress in the midterms. The market read: Musk's cozy relationship with the GOP White House now has a hostile legislative counterweight — meaning harder paths for AI data center permitting, FSD deregulation, and the Texas-centric SpaceX/Tesla infrastructure buildout analysts have been pricing in.
- Weirdly, Lucid (+12%) and Rivian (+6%) ripped on the same news. That tells you something important: investors think a Dem Congress will protect/extend the $7,500 EV tax credit that Tesla's competitors rely on far more than Tesla does. Tesla loses its political patron; rivals get their subsidy lifeline back.

### WHY IT MATTERS

The "Musk premium" is deflating in real time. For the past year, TSLA has traded less like a car company and more like a bet on Musk's political access — fast-tracked AI infrastructure, permissive FSD rules, defense/space contracts. A Democratic Congress can't undo executive orders overnight, but they control funding, oversight hearings, and investigations — and they've telegraphed interest in all three regarding Musk's companies. Watch for this to be a multi-week de-rating rather than a one-day dip: when a political thesis breaks, hedge funds unwind positions in stages, not all at once.

### POLICY & POLITICAL WATCH

Three things to watch: (1) The EV tax credit — Dems will likely try to restore/expand it, which ironically helps Lucid and Rivian more than Tesla since Tesla already dominates and doesn't need the subsidy to move units. (2) AI data center permitting and energy policy — Tesla's Dojo supercomputer and xAI buildouts need massive power; a Dem Congress will push harder on clean-energy requirements and environmental review, slowing things down. (3) NHTSA oversight of FSD/Robotaxi — expect louder subpoenas and investigations now that Dems chair the relevant committees. None of this kills Tesla, but it raises the cost and timeline of every growth lever.

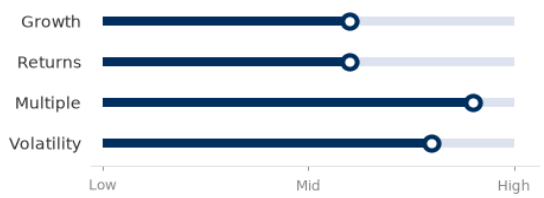
### IS IT EXPENSIVE?

At $1.54T market cap and roughly 166x forward earnings — meaning you're paying $166 for every $1 of profit Tesla makes next year — this is priced for AI/robotics perfection, not car sales. For comparison, Ford trades at ~8x and even Nvidia is ~35x. The valuation only works if Optimus humanoid robots and Robotaxi actually scale on the aggressive timelines Musk promises — and today's news just added political friction to both.

### WHAT COULD GO WRONG

| Key Data | |
|---|---|
| Price (USD) | **$389.36** |
| 12M Price Target | **$425.00** |
| Upside / (Downside) | **+9.2%** |
| Market Cap | **$1.54T** |
| FY2026E Revenue | **$118M** |
| FY2027E Revenue | **$142M** |
| FY2026E EPS | **$2.35** |
| FY2027E EPS | **$3.40** |
| Fwd P/E | **165.7x** |

### INVESTMENT PROFILE




### 12-MONTH PRICE PERFORMANCE VS. S&P; 500





This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

**TSLA** — Tesla, Inc. | November 04, 2026

## PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|---|---|---|---|
| 1 Month | **$420.00** | $390.00 | **$355.00** |
| 6 Months | **$475.00** | $410.00 | **$320.00** |
| 1 Year | **$550.00** | $425.00 | **$290.00** |
| 2 Years | **$650.00** | $480.00 | **$260.00** |
| 5 Years | **$900.00** | $575.00 | **$220.00** |
| 10 Years | **$1500.00** | $750.00 | **$180.00** |

## WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Consumer Discretionary (+4.6%) and Real Estate (+3%) — classic post-election relief rally, markets like divided government for the gridlock it creates. EV peers (LCID, RIVN) specifically are ripping on tax credit hopes.

**COOLING OFF:** The "Musk complex" — Tesla and SpaceX-adjacent names are the only major losers today. That's a clean political signal, not a fundamental one.

**ROTATION WATCH:** Money is rotating OUT of Trump-trade winners (Tesla, private prisons, fossil fuels) and INTO Biden-era beneficiaries (traditional EVs, renewables, housing). This is a political reshuffle, not a growth reshuffle.

**RELATED PLAY:** If you believe EV credits get extended, the charging infrastructure names (CHPT, EVGO) and lithium miners (ALB) benefit on a second-order basis without the Musk-political baggage.

## WHO'S WINNING IN THIS SPACE?

- LCID (Lucid Group): +12% — pure EV-credit rally; they desperately need the $7,500 subsidy to move cars
- RIVN (Rivian): +6% — same thesis, plus their delivery van business benefits from Dem-friendly commercial EV mandates

**TSLA CONTEXT:** Tesla is badly lagging its own peer group today, which is unusual and telling. When the leader underperforms its laggards on sector-positive news, it usually means a specific negative is being priced into the leader — in this case, loss of political patronage. This typically takes 2-4 weeks to fully price in before the stock finds footing.

## WHAT I'D DO WITH THIS STOCK

**5/10** Conviction Score

**CONVICTION:** 5/10 — I like the long-term AI/robotics story but the near-term political setup just got materially worse, and the valuation gives you no cushion.

**POSITION SIZE:** 2-4% — this is a volatile name with binary catalysts (Optimus, Robotaxi). Size it so a 30% drawdown doesn't ruin your week.

**ENTRY POINTS:** I'd wait for $350-370. The political de-rating isn't done, and the chart shows no support until the low $350s. Patience here is free.

**TIME HORIZON:** 12-24 months — the real catalyst is Optimus production data in 2027. Everything between now and then is noise.

WHEN TO BAIL: If Congress opens a formal investigation into Musk's government contracts, OR if Tesla pushes Optimus production past 2028, OR if China revenue drops >15% in a quarter.

**HEDGING:** Pair it with a small Lucid or Rivian position — if the political winds keep favoring traditional EVs over Musk, your hedge pays for the pain. Cheaper than buying puts.



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